

GOVERNMENT OF MALAYSIA

STANDARD FORM OF CONTRACT

FOR

RAILWAY OPERATION & MAINTENANCE

PWD Railway Operation & Maintenance Form (2024)

Hak Cipta Terpelihara Kerajaan Malaysia

This form has been approved by the Attorney General's Chamber

CONTRACT TITLE:

RAILWAY OPERATION & MAINTENANCE SERVICES

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RECITALS

A. The Government requires safe, reliable, and efficient operation and maintenance services for the railway infrastructure and operations; B. The Contractor agrees to provide such O&M Services, and has the relevant skills, experience, and competence to do so under this Contract.

1. DEFINITIONS AND INTERPRETATION

1.1 Definitions

For this Contract, unless the context otherwise requires, the following apply:

“Authority” means any statutory, government or regulatory body or agency which must provide its consent or approval for the provision of Railway O&M Services;

“Commencement Date” means the date determined as the start of the Railway O&M Services as set out in Clause 2.1;

“Contract” means this legally binding agreement, including its appendices and any amendments made in writing;

“Contract Documents” refers to this contract and all documents listed in the List of Appendices;

“Contract Expiry Date” means the date the Contract Period ends as given in Clause 2.1;

“Contract Period” means the period for which this Contract remains in force, as referred to in Clause 2.1;

“Contract Sum” means the total value contracted for Railway O&M Services as set out in Clause 4;

“Existing Rail Management Information System” means a computerized system or manual process already in use when the contract commences, for tracking rail operation, maintenance, and performance;

“Railway Operation & Maintenance Services” or “O&M Services” means all those works, services and deliverables specified in Appendix 10 and further described in the O&M Technical Specifications in Appendix 7A;

“Railway Operations Manager” means the person, fully qualified and experienced, appointed by the Contractor to administer and deliver the Railway O&M Services;

“Railway Superintending Officer” (“RSO”) means the officer so designated by the Government under Clause 23 to oversee the Contractor's performance;

“RSO’s Representative” means any individual delegated and authorized in writing by the RSO to act on his/her behalf as permitted by this contract;

“Government’s Intellectual Property” means all technical data, documentation, software, drawings, plans, or other materials owned or provided by the Government;

“Management Information System” means any Contractor-developed or maintained system for managing asset inventory, operations, or maintenance records and reporting;

“Performance Requirement” means the minimum obligations and key performance indicators laid out in Appendix 7B;

“Provisional Sum” means a sum set aside for specific O&M Services as may be directed by the Government per Clause 30.3;

“Site” means all railway lines, stations, depots, yards, signal rooms and control centers, as identified in Appendix 8;

“Site Office” means the Contractor's administration point or premises located at the Site;

“Working Day” means a day other than a public holiday, Saturday, or Sunday, as recognized by Malaysian law in the place the O&M Services are performed.

1.2 Interpretation

Unless inconsistent with the context: (a) Singular includes the plural and vice versa; (b) The masculine includes the feminine and vice versa; (c) Reference to any person includes a company, statutory body, partnership; (d) References to clauses, appendices etc. refer to those in this contract; (e) References to parties include their successors and permitted assigns; (f) Payments by the Government will be made in Malaysian Ringgit, by cheque or bank transfer to Contractor’s account; (g) References to laws include all

1.3 Notices, Consents, and Approvals

All communications (notices, consents, approvals, certificates, determinations) required under this Contract must be in writing, unless expressly stated otherwise.

1.4 Time Period

Any date or period for the performance of any act under this contract includes any variation to that period as agreed in writing by the parties.

1.5 Resolution of Ambiguities and Discrepancies

If the Contractor finds any discrepancy, ambiguity, or inconsistency in the Contract Documents, it must immediately notify the RSO in writing. The RSO will issue instructions to resolve such discrepancy, and the Contractor will comply accordingly. Any additional costs due to such resolutions fall upon the Contractor unless otherwise stated.

2. CONTRACT PERIOD

2.1 Contract Period

This Contract is valid for ____ years commencing from _____ (the “Commencement Date”) and will expire on _____ (the “Contract Expiry Date”), unless terminated earlier in accordance with this Contract.

2.2 Consequences of Expiry

Upon expiry of the Contract Period: (a) The Contractor shall: (i) Cease performing O&M Services; (ii) Vacate all Sites and remove equipment within fourteen (14) days; (iii) Fully cooperate for a smooth handover of services, staff, and information to the Government or its appointee; (iv) Return all Government-owned property, records, and documents; (v) Handover all Operations Management data and systems in working order. (b) The Government shall pay all monies due up to the expiry date, subject to set-offs permitted by this Contract.

3. SCOPE OF RAILWAY OPERATION AND MAINTENANCE SERVICES

3.1 The Contractor shall perform all Railway O&M Services described in Appendix 10 and achieve all standards and obligations imposed in this Contract and as required in Appendix 7B.

3.2 The RSO may require additional services, outside the primary scope, to be performed in accordance with the variation procedures in Clause 29.

4. CONTRACT SUM

4.1 In consideration for the services, the Government shall pay the Contractor the sum of

Ringgit: _____ (RM____) (the “Contract Sum”).

4.2 The Contract Sum is fixed except for permitted variations specifically approved pursuant to this Contract.

5. TERMS OF PAYMENT

5.1 The Government shall pay the Contractor monthly at amounts reflecting actual and proper performance, as certified by the RSO.

5.2 Each monthly payment application must include:

(a) Value of O&M Services executed in the month (refer Appendix 4); (b) Payments for approved variations; (c) Provisional sum expenditure with documentation; (d) Required reports and records specified in Appendix 7A and 7B; (e) Supporting evidence (logs, site diaries, service reports, invoices, delivery orders, and as-built drawings as required);

5.3 If Contractor does not submit necessary reports, the RSO will value the work based on available documents only.

5.4 The RSO will certify payment within fourteen (14) days of a satisfactory application.

5.5 The Government shall pay within thirty (30) days of certification.

6. PERFORMANCE BOND

6.1 The Contractor shall provide an irrevocable Performance Bond in favour of the Government, equal to five percent (5%) of the Contract Sum, from a licensed Malaysian financial institution, valid until twelve (12) months after the Contract Expiry Date.

6.2 If any part of the Performance Bond is called, the Contractor must immediately reinstate it to the full value.

6.3 Should the Contractor fail to perform, the Government may forfeit the Performance Bond proportional to the underperformance or loss.

7. OBLIGATIONS OF THE CONTRACTOR

During the Contract Period, the Contractor shall: (a) Provide all Railway O&M Services to the standards and schedule required; (b) Submit and follow an O&M Plan acceptable to the Government; (c) Ensure all work is carried out with care, skill, and in accordance with best industry practice; (d) Protect the Government's assets and legal interests at all times; (e) Use best efforts to prevent abuse, damage, or waste; (f) Employ and maintain skilled, qualified, and experienced personnel in sufficient numbers; (g) Maintain all records, documentation, and reporting systems as required; (h) Inform Government promptly, in writing, of any event likely to affect O&M Services; (i) Promptly notify and provide recommendations in the case of any accident, breakdown, or emergency; (j) At its own cost, provide and maintain, in adequate working order, all equipment, vehicles, and tools necessary for Railway O&M; (k) Supervise, manage, and train its staff as required for the safe and efficient delivery of all services.

8. REPRESENTATIONS AND WARRANTIES OF THE CONTRACTOR

8.1 As of the Commencement Date, the Contractor warrants and represents:

(a) It is a company validly registered under the laws of Malaysia; (b) It has all approvals and authorizations to enter into and perform this contract; (c) This contract constitutes a binding legal agreement; (d) Its execution of the contract does not breach any laws, rules, or corporate obligations; (e) There are no legal proceedings pending which would materially affect its ability to perform; (f) No illegal or corrupt practices were used to secure the award of this contract; (g) It has the financial and technical capacity to perform all obligations.

8.2 These warranties continue for the entire Contract Period.

9. RAILWAY OPERATING PLAN

9.1 The Contractor shall, within fourteen (14) days of the Commencement Date, submit its Railway Operating and Maintenance Plan (the "O&M Plan") to the RSO for approval.

9.2 The RSO will approve, reject, or request clarification or revision within fourteen (14) days. If not acted upon, the O&M Plan will be deemed accepted.

9.3 The Contractor must comply with all duties and transition provisions in the approved O&M Plan.

9.4 The Contractor must amend the O&M Plan promptly when directed by the RSO, to account for performance issues or operational changes.

10. INSPECTION OF RAILWAY SITES

10.1 The Contractor is deemed to have fully inspected all Sites and appraised itself of all operational and site conditions before signing this contract.

10.2 Information supplied by the Government does not relieve the Contractor of its duties and due diligence.

11. OPERATIONS REQUIREMENTS AND PERFORMANCE

11.1 The Contractor shall maintain all facilities, equipment, tracks, rolling stock, stations, and systems to the standards prescribed in Appendix 7B.

11.2 The Contractor must submit all operational and maintenance reports required by Appendix 7A, at the required frequency, for both payment and performance review.

11.3 If the Contractor fails to meet performance indicators, the Government is entitled to deduct, from any payment, penalties calculated as defined in Appendix 7B. Deductions may also be made against the Performance Bond.

12. RAILWAY OPERATIONS MANAGER

12.1 The Contractor must appoint a suitably skilled and qualified Railway Operations Manager, who shall always be present at the Site and fluent in both Bahasa Malaysia and English.

12.2 Upon Government's request, any unsuitable Operations Manager must be replaced immediately at the Contractor's cost.

13. EMPLOYMENT OF WORKERS

13.1 All workers must be skilled, trained, and qualified for railway operation and safety, and must meet the requirements set in Appendix 7A.

LIST OF APPENDICES

APPENDIX 1: FORM OF TENDER

The official tender submission document, as completed and submitted by the Contractor, duly signed and dated.

APPENDIX 2: LETTER OF ACCEPTANCE OF TENDER

A formal letter from the Government of Malaysia accepting the Contractor's tender offer, confirming contract award, start date, and initial terms.

APPENDIX 3: SUMMARY OF TENDER

A summary of key commercial offers, key personnel, service levels, technical approaches, and any clarifications or assumptions made as part of the Contractor's tender submission.

APPENDIX 4: SCHEDULE OF PRICE

The full, itemized contract price schedule, including:

- Routine Operation of Railway Lines
- Maintenance of Rolling Stock
- Maintenance of Track, Signalling, and Electrification
- Depot Services
- Emergency Response
- Supply of Materials and Spares
- Any variable or provisional rate items
- Grand total contract sum

APPENDIX 5: APPENDIX TO THE CONDITIONS OF CONTRACT

Essential project-specific information, including, but not limited to:

- Names and posts of all Government officers authorized to issue instructions (including Railway Superintending Officer, etc.)
- Details of financial limits and authority for variations
- Performance bond amount

- Statutory insurance requirements (sum insured, periods of insurance, policy numbers, amount of excess, etc.)
- On-cost charges percentages

APPENDIX 6: TREASURY'S INSTRUCTIONS

Authoritative Treasury Instructions or guidelines that are applicable to this contract, including procurement, payment, import/export, audit, or financial management.

APPENDIX 7: GOVERNMENT'S REQUIREMENT

Any overarching technical, safety, operational or policy requirement stipulated by the Government for all contractors, including access, security, and environmental policies.

APPENDIX 7A: RAILWAY OPERATION & MAINTENANCE TECHNICAL SPECIFICATIONS

Detailed, discipline-by-discipline specifications for all O&M activities, for example:

- Railway operating procedures
- Scheduled and preventive maintenance plans
- Emergency and breakdown procedures
- Technical standards for inspection of tracks, rolling stock, electrical and signalling equipment
- Required certifications for staff and materials
- Maintenance frequencies and methods

APPENDIX 7B: PERFORMANCE REQUIREMENTS

Service Level Agreements (SLAs), performance indicators, minimum availability and reliability metrics for all railway assets and services, including:

- Train punctuality and service reliability targets
- Rolling stock and track availability
- Maintenance response and rectification timeframes
- Penalty and deduction mechanisms tied to performance failure

APPENDIX 8: SITE INFORMATION AND ASSET INVENTORIES

Comprehensive register of all physical assets to be operated and/or maintained, to include:

- Site and railway route plans
- Lists of stations, depots, yards, and other railway facilities
- Rolling stock inventory (numbers, types, ages, serial numbers)
- Signalling, communications, power equipment inventories
- Condition assessments, if available

APPENDIX 9: FORM OF GUARANTEE FOR PERFORMANCE BOND

Standard template for the bank/insurer's guarantee in favor of the Government, indicating the surety's obligations and claiming details.

APPENDIX 10: SCOPE OF RAILWAY OPERATION AND MAINTENANCE SERVICES

A detailed breakdown, narrative, and/or matrix fully describing the Contractor's scope, mapped to technical, safety, and service standards set by the Government. To include but not be limited to:

- Daily, weekly, and preventive operational and maintenance routines
- Breakdown and emergency coverage
- Technical, administrative, and compliance obligations
- Interfaces with Government or third parties (e.g., railway police, ticketing, asset management, etc.)